CASCADIA ANALYTICS

INVESTMENT SCORECARD

LEU

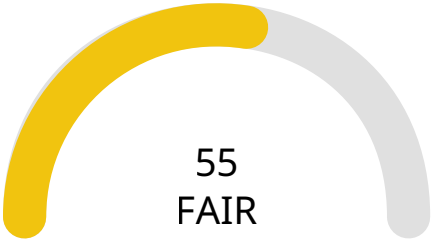
Centrus Energy Corp. (NYSE)

As-of: 17-Oct-2026 | Latest Filing: Q2 2026 (10-Q) | Currency: USD

$114.94 [Mkt 16-Oct-26]

Market Cap: $2.35B [Mkt 16-Oct-26]

Attractiveness Score



Confidence: **Medium** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 55

Genuine chokepoint asset: the only NRC-licensed US HALEU producer with a $900M DOE award. But economics are lumpy and thin: quarterly revenue swings 2x between quarters, net margins 10-17%, FCF margins single digits, and heavy capex ahead.

2. Recent Trend — 40

Stock down 53% YTD and 70% over 1 year, below the 200-day average (Strong Sell on daily MAs). Q2 beat on revenue and adj EPS but the stock fell on the $500M equity raise. Revenue growth is real but buried under dilution.

3. Forward Growth — 62

$4.5B backlog through 2040, DOE awards, and prepayment-funded HALEU deals give visible demand. But $3.0B of backlog is contingent on the Piketon expansion, and analyst estimates see revenue roughly flat through 2029. Growth is contracted, not yet delivered.

4. Valuation — 58

DCF base $134.22 implies 17% upside; the market prices a 1% CAGR, below our 5% bear case, so pessimism is priced in. But 29x TTM P/E is not cheap for lumpy government-dependent earnings, and dilution risk lingers.

5. Catalysts & Risk — 62

Q3 earnings Nov 4 and the year-end Oak Ridge centrifuge milestone are near-term positives. HALEU prepayments fund the build without debt. Offset: dilution

overhang from the September raise, DOE funding dependence, and contingent-backlog execution risk. Balanced, slightly positive.

Investment Thesis

- **Only US HALEU Producer:** Centrus runs the only NRC-licensed HALEU production in the US, backed by a $900M DOE award [Q2 PR]. Three of four advanced reactors reaching criticality ran on its fuel [Q2 call]. That is a genuine chokepoint in the SMR supply chain.
- **Contracted Growth:** $4.5B backlog through 2040 with definitive deals from X-energy, Radiant, and Antares Nuclear that include customer prepayments [8-Ks]. Demand is contracted; the job now is building the cascades to deliver it.
- **Pessimism Priced In:** At $114.94 [Mkt 16-Oct-26], the market implies a 1% revenue CAGR, below our 5% bear case [DCF model]. DCF base $134.22 implies 17% upside. The stock is down 53% YTD mostly on dilution fears, not demand loss.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q2 2026)	$176.1M [Q2 PR]	+14.0% [Q2 PR]	Up
Gross Profit (Q2)	$49.9M [Q2 call]	n/a [n/a]	Up
Net Income (Q2)	$16.8M [Q2 PR]	-41.9% [Q2 PR]	Down
Adj EPS (Q2)	$1.77 [Q2 PR]	-6.8% [Q2 PR]	Down
Backlog (thru 2040)	$4.5B [Q2 PR]	n/a [n/a]	Up
FY2026 Revenue Guide	$450-500M [Q2 PR]	~+5% [Q2 PR]	Flat
FY2026 Capex Guide	$350-500M [Q2 PR]	n/a [n/a]	Up

Historical Financial Trend

Metric	FY22	FY23	FY24	FY25	TTM
Revenue	$293.8M [10-K FY22]	$320.2M [10-K FY23]	$442.0M [10-K FY24]	$448.7M [10-K FY25]	$473.9M [10-Qs]
Net Margin	17.8% [10-K FY22]	26.4% [10-K FY23]	16.6% [10-K FY24]	17.3% [10-K FY25]	10.2% [10-Qs]
Free Cash Flow	$19.9M [10-K FY22]	$7.5M [10-K FY23]	$32.9M [10-K FY24]	$31.3M [10-K FY25]	n/a [n/a]

Valuation

Absolute (5/10)

P/E (TTM) 29.2x [Mkt 16-Oct-26]
DCF Base $134.22 [DCF model]
PEG 2.87 [Mkt 16-Oct-26]

DCF implies 17% upside but 29x P/E is full for lumpy, government-tied earnings.

Versus Peers (5/8)

Uranium peer multiples not sourced [n/a]

Scored neutral pending peer data.

Versus History (6/7)

52wk high $464.25 [Mkt 16-Oct-26]
YTD -53% [Mkt 16-Oct-26]

Trading far below historical levels; the market prices below our bear case.

Catalyst Timeline

Nov 4, 2026 [Cons]
Q3 2026 Earnings (Two-Sided): EPS est $0.01, revenue est $65.3M. Quarterly revenue is lumpy; the number to watch is backlog conversion.

End 2026 [Q2 PR]
Oak Ridge Milestone (Positive): First new centrifuge completion at Oak Ridge, TN. De-risks the capacity build-out.

2027-2030 [8-Ks]
HALEU Commercial Ramp (Positive): X-energy,

Top Risk Factors (Item 1A)

1. Dilution and Capital Intensity: ~$500M equity and warrant offering in September 2026 diluted holders; FY2026 capex guide of $350-500M and negative model FCF through 2027 mean more funding needs are possible. [8-K Sep 2026]

2. Government Funding Dependence: The HALEU cascade work is government-funded; DOE chose not to extend the existing cascade contract. Awards and prepayments depend on federal budgets and policy priorities. [Q2 PR]

3. Contingent Backlog: About $3.0B of the $4.5B backlog is contingent LEU and HALEU sales tied to

> Radiant, Antares contracts with customer prepayments start delivering toward 2030.

What Would Change Our Score

Q3 earnings on Nov 4 and the year-end Oak Ridge centrifuge completion are the near-term swing factors. A funded, on-schedule HALEU ramp would push toward the bull case ($188); further equity raises or DOE funding cuts would test the bear ($92).

the Piketon expansion ($2.4B definitized). Delays in the build-out push contracted revenue further out. [Q2 call]

4. Lumpy Revenue: Q1 2026 revenue was $76.7M vs Q2 at $176.1M. Shipment timing drives big swings, so any single quarter can miss badly and earnings are hard to model. [10-Q Q2 2026]

Forward Growth Drivers

- $900M DOE HALEU task order signed July 2026, funding 12 MT/year of capacity [Q2 PR]
- Definitive HALEU supply deals with X-energy, Radiant, Antares Nuclear, all with customer prepayments [8-Ks]
- Only NRC-licensed US HALEU producer; 3 of 4 advanced reactors hitting criticality ran on its fuel [Q2 call]
- $4.5B backlog through 2040 ($3.7B LEU, $0.8B Technical Solutions) [Q2 PR]

Missing / Modified Data Log

- TTM gross margin not disclosed at quarterly level; used segment and annual figures.
- 2021 net margin (58.7%) included one-time items; excluded from trend narrative.
- Uranium peer multiples not sourced; peers valuation scored neutral.
- Short interest and options flow not used in scoring.

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